Both Chidambaram and I were to travel to Moscow for a G20 meeting scheduled on 19–20 July. On 15 July, I met Chidambaram in Delhi and told him of my decision to deploy monetary policy to sharply tighten market liquidity as a measure of exchange rate defence. The specific measures consisted of raising the marginal standing facility rate by a whopping 2 per cent, imposing a quantitative restriction on banks' access to the repo window and open market sales of government securities.

This decision to use monetary policy to defend the exchange rate was by far one of the toughest decisions I had to make as governor. It is not lightly that a central bank, particularly the Reserve Bank, would use its monetary policy weaponry for exchange rate defence. For sure, the Reserve Bank's regular monetary policy decisions, calibrated with other objectives such as inflation and growth in view, would have an impact on the exchange rate, but that is an incidental, albeit considered, by-product. Directly deploying monetary policy to manage the exchange rate itself is an altogether different ball game. But as one central bank colleague told me: 'Sometimes, it is time to think the unthinkable.' I thought the time had come for me then.

The motivation for this bazooka action, as some analysts called it, was to curb speculative activity which was exacerbating the one-way pressure on the rupee. We had market intelligence to believe that the relatively comfortable liquidity in the system and the relentless one-way movement of the rupee were together fuelling speculation, especially in the overseas non-deliverable forwards (NDF) market. Tightening domestic liquidity was imperative to make it more expensive to borrow in rupees to take dollar positions. Furthermore, we believed that this extraordinary action would signal our resolve to stem the rupee volatility. Incidentally, given that the rupee depreciation was inflationary, these measures to arrest its slide were consistent with our inflation management objective, both in terms of their potential impact on the exchange rate itself and through the more conventional monetary policy channel.

Over the years, the Reserve Bank had liberalized the capital account by not only making it easier for non-residents to bring in capital and take it out, but also allowing options for resident Indians to convert their rupee